SECTION J – ATTACHMENT 3
AWARD FEE PLAN

AWARD-FEE PLAN

FOR

Hybrid Architecture and Development for Experimental Systems (HADES)

Contractor: TBD

Solicitation Number:
FA8809-26-R-B001

APPROVED:

Fee Determining Official

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SSC SYD 89/SD Director Date

Contents

1.0 INTRODUCTION

1.1 The Hybrid Architecture and Development for Experimental Systems (HADES) contract is a procurement for prototype and operational satellite ground systems, satellite operations centers (SOCs), and support services. The contractor shall perform satellite ground system and satellite operations center engineering, development, integration, and sustainment, and associated support services primarily at, but not limited to, the Research, Development, Test, and Evaluation (RDT&E) Support Complex (RSC) at Kirtland Air Force Base, Albuquerque, New Mexico. The organization's goal is to accelerate mission design and ground integration, launch and on-orbit operations, ground system tests, and rapid fielding to provide reliable, low-cost access to space in support of the warfighter.

1.2 This award-fee plan is the basis for SYD 89/SD's evaluation of the Contractor's performance on the HADES contract and for presenting an assessment of that performance to the Fee Determining Official (FDO). As such, this award-fee plan serves as the quality assurance surveillance plan IAW FAR Part 46. It describes specific criteria and procedures used to assess the Contractor's performance and to determine the amount of award fee earned.

1.3 The FDO will determine the award fee earned and payable to the Contractor based upon review of the Contractor's performance against the criteria set forth in this plan. The award-fee determination is subjective in nature and is solely at the discretion of the Government; however, the determination is subject to the Disputes clause of the contract. The award amount is intended to motivate excellence in contract performance; the Government will not reward unsatisfactory performance.

1.4 The award fee payment will be provided to the Contractor through contract modifications.

1.5 Before an evaluation period begins, the Government may unilaterally modify the award fee plan including technical or performance award fee events, evaluation criteria, and distribution of award fee dollars. All significant changes will be coordinated with the Award-Fee Review Board (AFRB and must be approved by the FDO. The Procurement Contracting Officer (PCO must provide written notice to the Contractor once any changes are approved. Changes will not take effect if written notice is not given to the Contractor prior to the start of the next evaluation period. Changes affecting the current evaluation period may be implemented only by mutual agreement of the parties.

2.0 ORGANIZATION AND RESPONSIBILITIES

The award-fee organization consists of the FDO, an AFRB, which consists of a Chair and members, the Government Program Manager (GPM, PCO, Recorder, Area Leads, and performance monitors. These participants are listed in Annex 1, and responsibilities are outlined below:

2.1 Fee-Determining Official. The FDO is the designated Agency official who reviews the recommendations of the AFRB in determining the amount of award fee to be earned by the Contractor for each evaluation period. The FDO reviews the recommendations of the AFRB, considers all pertinent data, and independently determines the award-fee amount for each evaluation period. The FDO also approves the award-fee plan and any significant changes.

2.2 Award-Fee Review Board. The AFRB is a team of individuals identified in the award-fee plan who evaluate the Contractor's overall performance for the award-fee evaluation period and recommends the earned award fee amount to the FDO. The AFRB will convene at the time, date, and place established by the AFRB Chair. The AFRB shall consider evaluations documented by the performance monitors and input from other sources that have observed the Contractor's performance during the evaluation period. After reviewing and discussing the information relating to the Contractor's performance, the AFRB voting members shall individually vote on each evaluation area by signed ballot, with each member having only one vote. The AFRB may also recommend changes to this plan. The AFRB does not include Performance Monitors.

2.3 Award-Fee Review Board Chair. The AFRB Chairs is responsible for the overall functioning of the AFRB and will present the recommendation of the AFRB to the FDO.

2.4 Government Program Manager. The GPM is responsible for the overall management of the contract, including the award-fee process. The GPM will receive periodic performance evaluation reports from the Area Leads and may also provide his or her own performance reports. The GPM will ensure that the Recorder compiles these reports, obtains approval from the GPM, and provides the reports to the PCO for distribution to the Contractor.

2.5 Procurement Contracting Officer. The PCO is the liaison between contractor and Government personnel. The PCO transmits the FDO's award-fee determination letter to the Contractor, prepares and distributes the contract actions to award the award fee or implement changes authorized by the FDO, and maintains appropriate award-fee documentation in the official contract file.

2.6 Area Leads. The Area Leads are the Branch Chiefs who are the users/customers for this contract. They appoint performance monitors to observe and evaluate contractor performance over all evaluation areas. The Performance Monitors write and provide the quarterly performance monitor evaluation reports and end-of-period performance evaluation reports to the Area Leads. The Area Leads review and provide the reports to the GPM.

2.7 Performance Monitors. The Performance Monitors provide the continuous evaluation of the Contractor's performance in specific assigned areas of responsibility. Performance monitors are appointed by the Area Leads but are usually the mission managers for each task order. Performance monitors are responsible for assessing contractor performance in their appointed area(s) of responsibility and for maintaining written records of that performance. Performance monitors submit their evaluations to the Area Leads.

2.8 AFRB Advisors. AFRB advisors are Subject Matter Experts (SME, such as legal counsel, who provide guidance to the board and FDO but are not voting members of the board.

2.9 AFRB Recorder. The AFRB recorder is a non-voting member of the AFRB and is responsible for coordinating the administrative actions required by the Area Leads, AFRB members, AFRB Chair, and the FDO. The recorder may help assemble the briefing, schedule the board meeting, take minutes, etc.

3.0 AWARD-FEE PROCESS

3.1 Award-Fee Process Overview. The Government will determine the amount of fee awarded for a given evaluation period based on continuous performance monitoring and periodic performance reporting, which includes quarterly and end-of-period evaluations. In order to meet the minimum requirements of the PWS, the Contracting Officer Representative's (COR) inputs will be utilized as part of the AF plan process. The role of the COR will be delegated to the Government Program Manager (GPM). The AFRB will use these evaluations to make a performance rating and award-fee recommendation to the FDO, who will then make the final determination. The process consists of the following steps:

3.1.1 ***During an evaluation period***, Performance monitors continuously observe contractor performance and compare that performance to the criteria included in this award-fee plan (see Annex 2). Performance monitors then document the performance details, the manner in which the performance compares to the criteria, and the impact of the performance.

Performance monitors submit these performance reports to the Area Leads for review and submission to the GPM. The GPM regularly consolidates these submissions and presents them at quarterly surveillance meetings (see section 3.7). The PCO may also issue letters at any other time when it is deemed necessary to highlight areas of Government concern. Additionally, the Government will provide informal feedback during monthly status meetings with the Contractor; discussion of any significant issues will be documented. The PCO will provide these quarterly surveillance interim reports as documented under paragraph 3.7.

3.1.2 ***At the end of an evaluation period***, Area Leads review the performance monitor reports from the entire period and determine whether the impact to the mission is positive or negative and to what degree (see section 3.8). The Area Leads then compile the performance reports in their area into briefing charts and send to the GPM for review.

The GPM will ensure that the Recorder collects these inputs, prepares a consolidated briefing to the AFRB, re-distributes the briefing to the Area Leads for review, and makes any necessary edits. Next, the GPM and Area Leads conduct the briefing to the AFRB, and the AFRB evaluates the Contractor's performance and provides the award-fee recommendation to the FDO (see section 3.8).

The GPM will ensure that the Recorder prepares the FDO briefing and the AFRB chair leads the presentation of the AFRB recommendation to the FDO. The FDO then makes the final performance and award-fee determination and signs a letter communicating this determination to the Contractor. Finally, the PCO awards the fee to the Contractor via contract modifications.

3.2 Award-Fee Evaluation Periods. The following table shows the award-fee evaluation periods covered by the contract.

Evaluation Period	**From**	**To**
One (Includes Transition)	10 FEB 27	9 AUG 27
Two	10 AUG 27	9 FEB 28
Three	10 FEB 28	9 AUG 28
Four	10 AUG 28	9 FEB 29
Five	10 FEB 29	9 AUG 29
Six	10 AUG 29	9 FEB 30
Seven	10 FEB 30	9 AUG 30
Eight	10 AUG 30	9 FEB 31
Nine	10 FEB 31	9 AUG 31
Ten	10 AUG 31	9 FEB 32
Eleven	10 FEB 32	9 AUG 32
Twelve	10 AUG 32	9 FEB 33
Thirteen	10 FEB 33	9 AUG 33
Fourteen	10 AUG 33	9 FEB 34

3.3 Available Award-Fee Amount for Each Evaluation Period.

3.3.1 **Establishment of the Available Award Fee Pool Amount**. The award fee pool amounts will be established at the time of the award of the task order. Each task order will establish the estimated cost (for the CLIN value) and the available award fee pool dollars. The available award fee pool dollars are allocated to award fee events (task completion milestones or deliverables). The available award fee pool dollars with the corresponding award fee events will be inserted into a model similar to that in Annex 4. This model will be maintained and updated throughout the life of the contract. The model will be maintained separate from the contract document. The Government will share the model with the Contractor following any updates and/or changes, and additionally distribute the document upon any formal or informal request. This model will be presented at all Award Fee Review Boards. For each award fee event, exit criteria will be established. IAW DFARS 216.405-2(1), for each task order, the PCO must ensure that at least 40 percent of the available award fee is assigned to the last award fee event.

3.3.2 **Evaluation of Award Fee Events for Award Fee Earnings**. At the end of each evaluation period, as defined in Paragraph 3.2, all events completed within that timeframe (met exit criteria) will be evaluated to determine the award fee earnings. The available award fee pools for the completed award fee events will be summed to constitute the available award fee pool for the period. See Annex 3 for sample computation. This total available award fee pool for the period will be subjected to the AFRB evaluation for the FDO's determination of how much of the pool will be awarded to the Contractor. Note that some award fee events may have performance spanning across multiple award fee periods. These events are not evaluated until the period in which they are completed.

3.4 Evaluation Areas. The following table outlines the areas and the weighting of each area upon which the Government will evaluate the award fee events completed during the period. The Government will use Annex 2 to assess the Contractor's performance. The assessments will roll- up into a single adjectival rating and a single award fee percent earned (if any) for the period, as shown in Paragraph 3.5.

Evaluation Areas	Evaluation Area Weighting
Area A: Management	40%
Area B: Quality of Technical Services	40%
Area C: Cost Control	20%

3.5 Award-Fee Ratings. The results of the AFRB will roll up into a single adjectival rating. The following table defines the possible ratings for the evaluation period. Each rating indicates a range of potential award fee the Contractor can earn. The FDO will make a determination as to the percentage earned for the period.

For the table below use the following definitions:

"almost all" – greater than 75%

"many" – greater than 50% and less than or equal to 75%

"some" – greater than 10% and less than or equal to 50%

Award-Fee Adjectival Rating	Award-Fee Pool Available To Be Earned	Description
Excellent	91% - 100%	Contractor has exceeded ***almost all*** of the significant award-fee criteria and has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined in the Performance Work Statement (PWS) or Task Order and measured against the criteria in the award-fee plan for the award-fee evaluation.
Very Good	76% - 90%	Contractor has exceeded ***many*** of the significant award-fee criteria and has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined in the PWS or Task Order and measured against the criteria in the award-fee plan for the award-fee.

Good	51% - 75%	Contractor has exceeded ***some*** of the significant award-fee criteria and has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined in the PWS or Task Order and measured against the criteria in the award-fee plan for the award-fee.
Satisfactory	50%	Contractor has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined in the PWS or Task Order and measured against the criteria in the award-fee plan for the award-fee.
Unsatisfactory	0% - 49%	Contractor has failed to meet overall cost, schedule, or technical performance requirements of the contract in the aggregate as defined in the PWS or Task Order and measured against the criteria in the award-fee plan for the award-fee evaluation period.

3.6 Evaluation Criteria. Performance monitors will use the evaluation criteria in Annex 2 to assess contractor performance. The Contractor is considered to have performed as Unsatisfactory for performance outputs as shown in Column 1 of each evaluation area of Annex 2. The Contractor is considered to have performed in the range of Satisfactory if their performance meets the criteria in Column 2 of each evaluation area of Annex 2. The Contractor is considered to have performed as Good if their performance meets the criteria in Column 3 of each evaluation area of Annex 2. The Contractor is considered to have performed as Very Good if their performance meets the criteria in Column 4 of each evaluation area of Annex 2. The extent to which the Contractor has exceeded all the requirements is determined as Excellent against the criteria in Column 5 of each evaluation area of Annex 2.

3.7 Monthly Surveillance Meetings. Periodic feedback will be provided to the Contractor to ensure problems are identified and addressed as early as possible (see 3.1.1). These surveillance meetings will take place each month of the evaluation period. Performance monitors will identify in their evaluations those areas where improved contractor performance is necessary or required and areas of strengths.

If the Contractor fails to show improvement in problem areas, the Contracting Officer may communicate an area of concern, after coordinating with the AFRB, emphasizing areas needing improvement. For each letter issued, the Contractor is required to provide a written response within 15 calendar days. The response should, at minimum, set forth plans for improving performance in the areas noted or explain why it is not feasible to do so.

When requested by the Contractor, the Government will provide a briefing on strengths, weaknesses, and areas for improvement or special emphasis based on the AFRB evaluation. The PCO will provide quarterly surveillance reports which will serve as an interim evaluation report. If the end-of-the-quarter period coincides with the end-of-the-award fee evaluation period, the end-of-period evaluation will be provided in lieu of the quarterly interim reports.

3.8 End-of-Period Evaluations. The AFRB Recorder notifies each AFRB member and Area Leads 30 calendar days before the end of the evaluation period. At the end of an evaluation period, the Area Leads and GPM will (1) review all the performance reports from the evaluation period and (2) identify the relative impact of contractor performance using the metrics provided in the chart below.

Excellent	Major or Potentially Major Positive Program Impact
Very Good	Moderate or Potentially Moderate Positive Program Impact
Good	Minor Positive Program Impact
Satisfactory	Met Mission Requirements
Unsatisfactory	Negative Program Impact

AFRB voting members will then review the significant reports for each evaluation area to determine a rating for each area in accordance with the Award Fee Evaluation Criteria, Annex 2.

The AFRB members will be provided access to all CDRLs, deliverables and performance evaluation reports. Additionally, AFRB voting members will provide their ratings for each performance evaluation area (see 3.4). The AFRB Chair will then lead the briefing to the FDO on the board's recommendation for the percentage of fee to be awarded. At the end of the briefing, the FDO will make the award-fee determination. The PCO will forward a letter from the FDO informing the Contractor of the award-fee determination. A Memorandum for Record (MFR) will be drafted for FDO signature documenting the rationale for any variations between the AFRB recommendation and the FDO determination. The PCO will perform the necessary contractual actions to provide the award fee to the Contractor. See Annex 3 for a sample award-fee computation.

The Contractor shall participate in the award fee process up to the point of AFRB and FDO briefing/discussions but will not be present during the Government deliberations or voting. The Contractor will brief the AFRB for a period not to exceed 30 minutes. Written contractor self-assessment of performance shall be submitted to the AFRB through the PCO for each evaluation period under consideration. Self-assessments shall be no more than 10 pages in length and should be submitted no later than 10 business days following the close of an evaluation period.

FDO briefings should be completed within 30 days of the end of the evaluation period but not later than 60 days after the end of the period. The PCO will subsequently send the FDO signed letter to the Contractor, informing the Contractor of the amount of award fee earned and the overall associated performance rating.

4.0 AWARD-FEE PLAN CHANGE PROCEDURE

During the first month of the award fee period, the GPM will provide the AFRB members a copy of the award fee plan. The AFRB members will be asked to review the plan with a focus on the award fee criteria. When the AFRB meets at the end of an evaluation period, board members will be asked to verify that the evaluation criteria are still a valid description of the level of performance expected. Any recommended adjustments may initiate an award-fee plan change.

Additionally, other necessary changes may be discovered during the implementation of this plan. The Contractor may recommend changes to the PCO no later than 30 calendar days prior to the beginning of the new evaluation period.

All significant changes to this award-fee plan must be approved by the FDO; the AFRB Chair may approve other changes. Examples of significant changes include changing evaluation criteria, adjusting weights associated with the evaluation area, changing AFRB membership, or revising the distribution of the award-fee dollars.

After approval by the FDO or the delegated AFRB Chair, the PCO shall notify the Contractor in writing of any changes to this plan. If the Contractor is so notified at least 15 calendar days before the start of a new evaluation period, the changes will be incorporated into the contract unilaterally for the upcoming period. Changes made within 15 days of a new evaluation period or changes affecting a current evaluation period must be made by bilateral agreement.

5.0 CONTRACT TERMINATION

5.1 Termination for Convenience. In the event that the contract is terminated for the convenience of the Government, the amount of award fee to which the Contractor is entitled shall be determined as follows:

(1) Award-fee earned or earnable by the Contractor for award fee evaluation periods completed prior to the effective date of the termination will not be affected by the termination.

(2) Award-fee deemed earned and to be paid for performance during the period before the termination becomes effective will be determined by the FDO in accordance with the approved award fee criteria and will not be subject to negotiation as part of the equitable adjustment in accordance with the termination clause of the contract. For purposes of fee determination, contractor performance evaluation will end as of the date of termination.

(3) The remaining award-fee dollars for all periods subsequent to the effective date of the termination will not be considered earned or earnable and, therefore, will not be paid.

5.1 Termination for Default. In the event of a termination for default, the award fee is payable only to the extent earned through the last period prior to termination. The Contractor shall not earn award fee for the period in which the default occurred. Consequently, no additional award fee shall be paid during the termination settlement of the contract. Award-fee earned or earnable by the Contractor for award-fee evaluation periods completed prior to the effective date of the termination will not be affected by the termination, unless other provisions of the contract and/or award –fee plan (e.g., negative incentive) require payback of previously earned fee.

6.0 Annexes:

1. Award-Fee Review Board Participants
2. Award-Fee Evaluation Criteria
3. Sample Award-Fee Computation
4. Sample Available Award Fee Pools and Earnings

ANNEX 1: AWARD-FEE REVIEW BOARD

Fee Determining Official: If Delegated: Director, Innovation and Prototyping Delta	SSC/SYD89/SD
Award-Fee Review Core Board Members:	
Chair, Innovation and Prototyping Division Ground	SSC/SYD89/SDG
Voting Members:	
Chief, Innovation and Prototyping Division Ground	SSC/SYD89/SDG
Chief of Contracting, Innovation and Prototyping Delta	SSC/SYD89/SFPEO-SCP/PK
Technical Director, Innovation and Prototyping Delta	SSC/SYD89/SD
Contracting Officer	SSC/SYD89/SFPEO-SCP/PK
Budget Chief, Innovation and Prototyping Delta	SSC/SYD89/SDF
Chief, Innovation and Prototyping Division Operations	SSC/SYD89/SDX
Government Program Manager	SSC/SYD89/SDG
Non-Voting Members:	
Recorder	SSC/SYD89/SD
Program Attorney	SSC/JA

Performance Monitors: Personnel in the Innovation and Prototyping Delta Divisions, as appointed by Area Leads.

ANNEX 2: AWARD FEE EVALUATION CRITERIA

Area A: Management				
1: Unsatisfactory	**2: Satisfactory**	**3: Good**	**4: Very Good**	**5: Excellent**
▪ Manage mission tasks within program schedule constraints based on a variance of 60% deviation of monthly schedules compared to master IMS per evaluation period. ▪ Key positions remain vacant or filled with other than a qualified or cleared person for more than 20 business days (interim filling of key positions acceptable as long as permanently fill is in place within 30 days). ▪ Necessary human resources with the appropriate clearances to fill positions at a rate of 70% for non-key personnel. ▪ The overall small business utilization for the evaluation period's total contract value is less than 25%. ▪ Provide Program management across the contract as evaluated based on the monthly program status reports for an overall grade of unsatisfactory.	▪ Manage mission tasks within program schedule constraints based on a variance of 50% deviation of monthly schedules compared to master IMS per evaluation period. ▪ Ensure all key positions are filled with qualified and cleared personnel and do not remain vacant or filled with other than a qualified or cleared person no more than 20 business days (interim filling of key positions acceptable as long as permanently fill is in place within 30 days). ▪ Necessary human resources with the appropriate clearances to fill positions at the rate of 75% for non-key personnel. ▪The overall small business utilization for the evaluation period's total contract value is between 25% and 27%. ▪ Provide Program management across the contract as evaluated based on the monthly program status reports for an overall grade of satisfactory.	▪ Manage mission tasks within program schedule constraints based on a variance of 40% deviation of monthly schedules compared to master IMS per evaluation period. ▪ Ensure all key positions are filled with qualified and cleared personnel and do not remain vacant or filled with other than a qualified or cleared person no more than 15 business days (interim filling of key positions acceptable as long as permanently fill is in place within 30 days). ▪ Necessary human resources with the appropriate clearances to fill positions at a rate of 80% for non-key personnel. ▪ The overall small business utilization for the evaluation period's total contract value is between 28% and 30% ▪ Provide Program management across the contract as evaluated based on the monthly program status reports for an overall grade of good.	▪ Manage mission tasks within program schedule constraints based on a variance of 30% deviation of monthly schedules compared to master IMS per evaluation period. ▪ Ensure all key positions are filled with qualified and cleared personnel and do not remain vacant or filled with other than a qualified or cleared person no more than 10 business days (interim filling of key positions acceptable as long as permanently fill is in place within 30 days). ▪ Necessary human resources with the appropriate clearances to fill positions at a rate of 85% for non-key personnel. ▪ The overall small business utilization for the evaluation period's total contract value is between 31% and 33%. ▪ Provide Program management across the contract as evaluated based on the monthly program status reports for an overall grade of very good.	▪ Manage mission tasks within program schedule constraints based on a variance of 20% deviation of monthly schedules compared to master IMS per evaluation period. ▪ Ensure all key positions are filled with qualified and cleared personnel and do not remain vacant or filled with other than a qualified or cleared person no more than 5 business days (interim filling of key positions acceptable as long as permanently fill is in place within 30 days). ▪ Necessary human resources with the appropriate clearances to fill positions at the rate of 90%. ▪ Demonstrates flexibility in reach back ensuring that all task order requirements are met and that no mission is adversely impacted due to lack of resources. ▪ The overall small business utilization for the evaluation period's total contract value is 34% or more. ▪ Provide Program management across the contract as evaluated based on the monthly program status reports for an overall grade of excellent. ▪ Take initiative to incorporate lessons learned and act as a mission partner to identify

				issues and opportunities for the Government, customers, and Government associate contractors that will minimize impact to mission operations.

Area B: Quality of Technical Services				
1: Unsatisfactory	**2: Satisfactory**	**3: Good**	**4: Very Good**	**5: Excellent**
▪ More than three unapproved deviations of 20% or more from cost/schedule/performance metrics for any activity as reported in the monthly task order status report. ▪ More than three non- critical mission operation failures or one mission critical operation failure per evaluation period when conducting sustainment, maintenance, and system management functions. ▪ Processes and system experience negative cost/schedule/performance impact when cybersecurity or mission processes change. ▪ Average (over the period) problem resolution time greater than two hours (8/5).	▪ Three unapproved deviations of 20% or more from cost/schedule/performance metrics for any activity as reported in the monthly task order status report. ▪ Conduct sustainment, maintenance, and system management functions, with no mission critical operation failures and no more than three non-critical mission operation failures per evaluation period. ▪ Processes and system experience no cost/schedule/performance impact when cybersecurity or mission processes change. ▪ Average (over the period) problem resolution time equal to two hours.	▪ Two unapproved deviations of 20% or more from cost/schedule/performance metrics for any activity as reported in the monthly task order status report. ▪ Conduct sustainment, maintenance, and system management functions, with no mission critical operation failures and no more than two non-critical mission operation failures per evaluation period. ▪ Processes and system experience up to 5% improvement in cost/schedule/performance impact when cybersecurity or mission processes change. ▪ Average (over the period) problem resolution time greater than 90 minutes, less than 120 minutes.	▪ One unapproved deviation of 20% or more from cost/schedule/performance metrics for any activity as reported in the task order monthly status report. ▪ Conduct sustainment, maintenance, and system management functions, with no mission critical operation failures and no more than one non-critical mission operation failures per evaluation period. ▪ Processes and system experience from 5% to 10% improvement in cost/schedule/performance impact when cybersecurity or mission processes change. ▪ Average (over the period) problem resolution time greater than 60 minutes, less than 90 minutes.	▪ No unapproved deviations of 20% or more from cost/schedule/performance metrics for any activity as reported in the task order monthly status report. ▪ Conduct sustainment, maintenance, and system management functions without impact to mission operations. ▪ Processes and system experience from 5% to 10% improvement in cost/schedule/performance impact when cybersecurity or mission processes change. ▪ Average (over the period) problem resolution time less than 60 minutes.

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Area C: Cost Control				
1: Unsatisfactory	**2: Satisfactory**	**3: Good**	**4: Very Good**	**5: Excellent**
▪ Accurately execute cost type task orders with more than 3 task orders above 10% or below 20% of the task order's cost on any monthly report during the evaluation period. ▪ Fail to anticipate cost growth on change to operational requirements.	▪ Accurately execute cost type task orders with no more than 3 task orders above 10% or below 20% of the task order's cost on any monthly report during the evaluation period except as indicated in the criteria below. ▪ Correctly anticipate cost changes (plus/minus) on change to operational requirements, with no associated recommendations.	▪ Accurately execute cost type task orders with no more than 2 task order above 10% or below 20% of the task order's cost on any monthly report during the evaluation period except as indicated in the criteria below. ▪ Proactively recommend changes to achieve cost savings of from 1% to 5%, with associated rationale.	▪ Accurately execute cost type task orders with no more than 1 task order above 10% or below 150% of the task order's cost on any monthly report during the evaluation period except as indicated in the criteria below. ▪ Proactively recommend changes to achieve cost savings of from 6% to 10%, with associated rationale.	▪ Accurately execute cost type task orders with no task orders above the task order cost and no task orders below 10% of task order's cost on any monthly report during the evaluation period except as indicated in the criteria below. ▪ Proactively recommend changes to achieve cost savings of greater than 10%, with associated rational.

Note: Overruns and underruns shall be assessed objectively.

NOTE:

1. Any contractor effort rated "Unsatisfactory" in a particular area shall receive zero award- fee dollars ($0) for that area. In addition, if the Contractor's overall performance is rated "Unsatisfactory," the Contractor shall receive zero award-fee dollars ($0) for the award- fee period.

ADDITIONAL CRITERIA:

1. IAW DFARS 216.405-2-70, the PCO must evaluate contractor and subcontractor actions that may jeopardize the health or safety of Government personnel, through gross negligence or reckless disregard for the safety of such personnel. The PCO shall consider reducing or denying award fee for the evaluation period that such actions occurred. These actions are determined through either a conviction in a criminal proceeding, or finding of fault and liability in a civil or administrative proceeding. If the Contractor or a subcontractor at any tier is not subject to the jurisdiction of the U.S. courts, a final determination of contractor or subcontractor fault will result from a DoD investigation.

2. If the Contractor or subcontractor is responsible for a security violation and is determined significant by the FDO, the award fee may be reduced up to 100% of the earned award fee for the evaluation period in which the action occurred.

ANNEX 3: SAMPLE AWARD-FEE COMPUTATION

Award Fee Pool Calculation

Award-Fee Events Completed During Evaluation Period	Award-Fee Pool
Task Order 1, Award-Fee Event 4	$400,000
Task Order 3, Award-Fee Event 2	$500,000
Task Order 4, Award-Fee Event 1	$100,000
Total Available Award-Fee Pool	$1,000,000

Evaluation Areas

Total Available Award-Fee Pool		$1,000,000
Management	40%	$400,000
Quality of Technical Services	40%	$400,000
Cost Control	20%	$200,000

Award Fee Earned – Sample 1

Evaluation Areas	Weight	Available Award Fee	Evaluation Point	Award-Fee % Earned	Award-Fee Amt Earned
Management	40%	$400,000	100	100%	$400,000
Quality of Technical Services	40%	$400,000	90	90%	$360,000
Cost Control	20%	$200,000	80	80%	$160,000
		Total Award-Fee Amount Calculation			$920,000
		Percent Award-Fee Earned Calculation			92%
		Overall Performance Rating			**Excellent**
		Determination of Award Fee Earned			**$920,000**

Award Fee Earned – Sample 2

Evaluation Areas	Weight	Available Award Fee	Evaluation Point	Award-Fee % Earned	Award-Fee Amt Earned
Management	40%	$400,000	60	60%	$240,000
Quality of Technical Services	40%	$400,000	40	0%	$0
Cost Control	20%	$200,000	80	80%	$160,000
		Total Award-Fee Amount Calculation			$400,000
		Percent Award-Fee Earned Calculation			40%
		Overall Performance Rating			**Unsatisfactory**
		Determination of Award Fee Earned			**$0**

Note: Award-fee pool figures are fictitious and are only meant to illustrate award-fee pool computations.

ANNEX 4: SAMPLE AVAILABLE AWARD FEE POOLS AND EARNINGS

Task Order, Mod Number, Milestone #	**Available Award Fee Pools**	**Period Evaluated**	**Percent Earned**	**Dollars Earned**	**Award Fee Payment Mod**
TO#1, Mod#12, Milestone 1	$200,000	1	80%	$160,000	xxx
TO#1, Mod#12, Milestone 2	$300,000				
Totals					